WHISTLE BLOWER POLICY

JAMMU & KASHMIR STATE POWER DEVELOPMENT CORPORATION LIMITED

1. Introduction & Objective of Whistle Blower Policy.

1.1. Consistent with its long term business strategy, the Jammu & Kashmir State Power Development Corporation Limited, a regulated entity, is committed to adopting of the highest possible standards of business governance, ethics, regulatory-compliance for carrying on its business in a transparent manner with the utmost integrity and accountability at all levels. The Corporation is also committed in its dealings with its all stake holders/general public to a transparent business ethos & culture wherein it is safe & acceptable for all employees, directors and other specified stakeholders to voice / raise their genuine concerns in good faith and in a responsible & effective manner, by providing a framework to promote responsible vigilance mechanism through a whistle blowing mechanism to safeguard the Corporation against internal/ external threats like frauds, bribery, corruption, abuse of authority, non-compliance to regulatory guidelines, non-adherence to extant systems & procedures involving financial and/ or reputational loss through the process of "participative vigilance".

1.2. To further enhance the transparency in the organization by encouraging the employees/directors/other specified stakeholders to report any wrongdoing, which comes to their knowledge in the day-to-day performance of their duties or interaction with other fellow-colleagues/ Corporation staff without fear of retaliation, victimization and unfair-treatment, the Corporation has formulated the 'Whistleblower Policy' to guarantee them protection from any adverse departmental proceedings. The Policy is compliant to regulatory requirements under Section 177 (9) of the Companies Act 2013.

1.3. It is also expected that this Policy will encourage Corporation's employees, directors and other specified stakeholders, to bring to the notice of the management any issue involving compromise/ violation of ethical norms, legal or regulatory provisions, etc. which is in their knowledge, without any fear of retaliation against them. The policy neither releases directors and employees from their duty of confidentiality in the course of their work, nor is it a route for taking up a grievance about a personal situation. The main intent of the policy is to ensure that Corporation continues to strive to the highest possible standards of ethical, moral and legal Business Conduct and its commitment to open communications. However, a disciplinary action if any, taken against the Whistle Blower which has occurred on account of poor job performance or misconduct by the Whistle Blower, shall not be protected under this policy. For the sake of absolute clarity, it is specified that the Whistle Blower Policy does not tantamount, in any manner, to dilution of the vigilance mechanism in Corporation. Any Protected Disclosure made by a whistleblower under this policy, if

perceived to have a vigilance angle, shall be referred to Departmental Vigilance Officer (DVO) of the Corporation.

2. **Applicability of Policy & Its Effective Date.**

This policy which has been in existence, as amended from time to time, applies to all directors, employees including those who are on probation/contract or any other person that the Corporation through its Audit Committee of Board may wish to extend this policy to including a supplier, vendor, service provider who in good faith raises a genuine concern or report incidence of any activity by the Corporation or its employee or director that may constitute an event of concern. The effective date of the policy will be the date it is approved by the Board of Directors and/or put in public domain.

3. Definitions of Key Terms:

The definitions of some of the key terms used in this Policy are given hereunder. However, terms not defined herein shall have the meaning assigned to them under the relevant Code/service Rules.

a. "Audit Committee" means the Audit Committee of Directors constituted by the Board of Directors of the Corporation.

b. "Corporation" means The Jammu & Kashmir State Power Development Corporation Limited.

c. "Employee" means every person in the employment of the Corporation and the directors.

d. "Departmental Vigilance Officer (DVO)" means the executive heading the Vigilance Department of the Corporation at Corporate Head Quarters, Srinagar, J&K.

e. "Director" means every Director for the time being on the Board of Directors of the Corporation.

f. "Investigator" means any person/agency authorized, appointed, consulted or approached by the DVO/Chairman of the Audit Committee of Board of Directors (also referred to as Chairman AC BoD hereinafter) and also includes police and other government investigating agencies.

g. "Protected Disclosure" means any communication made in good faith or in overall interests of the Corporation that discloses or demonstrates information that may evidence unethical or improper activity including issues/concerns as given under (j) below.

h. “Subject” means a person against or in relation to whom a **Protected** Disclosure has been made or evidence gathered during the course of an investigation.

i. “Whistleblower” as given above includes any person in **employment** of the Corporation or director or any other **person**/entity that the Corporation through its Audit Committee of Board may wish to extend this definition to; reporting a ‘protected disclosure’ under this Policy. It will also include a supplier, vendor, service provider who in good faith raises a genuine concern or report incidence of any activity by the Corporation or its employee or director that may constitute an event of concern as given under (k) below.

j) “Issues and/ or Concerns” will include events/ instances/ incidence of any one or more of the following/ other similar cases:-

i. instances of corporate fraud;

ii. unethical business conduct;

iii. a violation of Central or State laws , rules, regulations and/ or any other regulatory or judicial directives;

iv. any unlawful act: whether criminal or civil;

v. malpractices;

vi. serious irregularities;

vii. impropriety, abuse or wrong doing;

viii. deliberate breach and non-compliance with Corporation’s policies;

ix. suspected/committed criminal offence;

x. Corporation funds used in an unauthorized manner;

xi. sexual or physical abuse of a service recipient, service provider, etc.

xii. discrimination against a service recipient, service provider, etc. on grounds of sex, caste, religion or disability;

xiii. any action/s which endanger the health or safety of employees, customer, general public etc.

xv. concealment of any information which is detrimental to the interests of the Corporation.

xvi. actions which may endanger financial position and/or reputation of the Corporation and any of its stakeholders;

xvii. questionable accounting/ audit matters, financial malpractices; and

xviii. any other form of improper action or conduct.

4. False or Bogus Allegations/Disclosures with mala-fide.

It shall be ensured that genuine whistleblowers are accorded complete protection from any kind of unfair treatment or adverse departmental proceedings. However, any abuse of this protection will warrant suitable action including reprimand. The protection under this policy would not mean protection from disciplinary action arising out of false or bogus allegations made by a Whistleblower knowing it to be false or bogus or with a mala-fide intention.

5. Scope

5.1. The policy is intended to help the Corporation to fulfill its commitment with all stakeholders so that its dealings with them will stand for strong ethical principles of integrity and transparency. This objective can be obtained when all the stakeholders including employees contribute towards this policy by reporting the wrongdoings including issues/concerns as given under 3(k) above which they may notice within the organization, without any fear/reprisal/retribution.

5.2. The policy is primarily for preventing financial & reputational losses to Corporation and all its stakeholders. No employee should report his/her personal grievance/s under the policy.

5.3. The disclosure made under this policy will be appropriately dealt with by the Corporation, and shall be reported to the Audit Committee of the Board which will be the monitoring authority for the purpose of this policy.

5.4. If any of the members of the Audit Committee of the Board shall have a conflict of interest in a given case, he/she should recuse himself/herself and other members of the Committee would deal with the said matter.

6. Whistle Blower's Role

6.1. The whistleblowers' role is that of a reliable information reporter. He/she is not required or expected to act as investigator or fact finder, nor would he/she determine the appropriate corrective or remedial action that may be warranted in a given case.

6.2. The whistleblower should not act on his/her/its own, in conducting any investigative activities, nor does he/she/it have a right to participate in any investigation other than as may be required by the Investigator/Designated Authority or the Audit Committee of the Board.

7. Procedure for Reporting

7.1. The detailed procedure for lodging of complaint under "Whistle Blower Policy" of JKSPDC is given under:-

7. **a) For lodging the complaint off-line (i.e. in physical format).**

i. The complaint must be in a closed / sealed envelope.

ii. All 'protected disclosures' concerning financial/accounting matters should be addressed to the Chairman of the Audit Committee of JKSPDC.

iii. In respect of all other 'protected disclosures' not relating to financial/accounting matters inculpating Executive Director and above should also be addressed to the Chairman of the Audit Committee of the Corporation; and those inculpating other employees should be addressed to the Departmental Vigilance Officer of the Corporation who will be reporting to the Audit Committee.

iv. The envelope should be addressed to the "Departmental Vigilance Officer/ Chairman Audit Committee of Board", as the case may be, with super-scribed "Complaint under Whistle Blower Policy." If the envelope is not super-scribed and closed, it will not be possible to protect the complainant under this policy and the complaint will be dealt with as per the normal complaint handling procedure. The complainant should give his/her name and address in the beginning or end of complaint or in an attached letter.

There are certain categories of complaints where it is not possible to maintain confidentiality about the identity of the complainants and "No Objection Certificate" is obtained from them before processing their complaints. On receipt of the No Objection Certificate, the complaints are processed and placed before the Audit Committee/DVO as the case may be, for consideration. Such complaints are considered as Non Whistle Blower Complaints, but before processing such complaints, the identity of the complainant is masked, thus taking adequate safeguard in an attempt to maintain confidentiality about the complainant's identity. Some categories of complaints, which one similarly dealt with are as under :-

(a) The complaint has been received in an open condition.

(b) The complaint has been addressed/endorsed to several authorities.

(c) The issues raised in the complaint had earlier been taken up with other authorities.

(d) The information has been sought/obtained under the provisions of RTI Act, by the complainant himself.

(e) The complainant had earlier taken up the issue with the Corporation in the form of an ordinary complaint.

(f) The complainant makes a complaint through email or seeks status/information regarding his earlier Complaint by sending an email, thus making his identity public.

(g) The complaint has been addressed/endorsed to many authorities of the Corporation, thus, disclosing his identity.

iii. The complainant should give his / her name & address in the beginning or at the end of the complaint or in separately attached letter.

iv. The Departmental Vigilance Officer/Chairman of the Audit Committee of the Board will not normally entertain any anonymous/pseudonymous complaint under this Policy. Any anonymous/pseudonymous complaints will be routed through the Vigilance Departments of Corporate Headquarters and dealt with as per the procedure laid down by the General Administrative Department, Jammu & Kashmir.

v. The text of the complaint should be carefully drafted, specific and verifiable.

vi. To protect the identity of the complainant, the Departmental Vigilance Officer/Chairman of the Audit Committee of the Board will not issue any acknowledgement and the whistle blowers advisably shall not enter into any further correspondence with the Departmental Vigilance Officer/ Chairman of the Audit Committee of the Board in this respect or in their own interest. The Departmental Vigilance Officer/Chairman of the Audit Committee of the Board shall ensure that subject to the facts of the case being verifiable, necessary action will be taken on the complaint as provided in this policy and/or as per other extant guidelines of the Corporation.

vii. Complaints received under this policy shall be opened in the Confidential Section and parallel files (separate file for each complaint) be created after concealing the name and address of the complainant.

b. The complaints which have been addressed to other/several authorities are not treated as complaint under this policy and are forwarded by the Confidential Section to the section concerned of the Corporation for taking necessary action.

(c) In respect of those complaints which are considered fit for processing under this policy, a letter is sent to the complainant to obtain (a) confirmation as to whether he/she has made the complaint or not and (b) a certificate that he/she has not made similar/identical allegation of corruption/misuse of office to any other authorities to qualify as a Whistle Blower complainant. Prescribed time limit for receiving the confirmation and the certificate from the Complainant is 30 days from the date of receipt of letter by the complainant. In case of no response within the prescribed time limit, a reminder is issued, giving additional two weeks' time to the complainant for sending confirmation and the certificate. If there is still no response from the complainant, the complaint is sent to the Branch concerned of the Corporation for necessary action.

(d) In case the matters are personal in nature or it is very difficult to hide the name/identity of the complainant, a No Objection Certificate (NOC) is also obtained from the complainant. In case the complainant refuses to give NOC, the complaint is filed in the Confidential Section without any further action.

(e) After receiving necessary confirmation along with the certificate and NOC (if applicable) from the complainant, the complaint is placed before the Audit Committee/DVO, as the case may be, for decision.

(g) The complaints, where necessary action has been recommended, are referred to the concerned Branch for further action.

If any further clarification is needed, the Chief Internal Vigilance Officer/ Chairman of the Audit Committee of the Board will get in touch with the complainant.

x. The contact details of the Chairman of the Audit Committee and the Departmental Vigilance Officer of the Corporation are, as under:

The Chairman, Audit Committee of Board Exhibition Grounds, Srinagar	The Departmental Vigilance Officer Exhibition Grounds, Srinagar

xi. The 'protected disclosures' should be factual and not speculative or in the nature of a conclusion, and should contain as much specific information as possible to facilitate proper assessment of the matter and the urgency for investigation.

xii. The whistle blower should furnish a brief 'note' covering the pertinent details about the matter that he/she wishes to report. This 'note' may, inter-alia, cover the following aspects to the extent possible:-

- Wrongdoing to be reported.
- Name/s with particulars of wrongdoer/s.
- When it occurred?
- Specific location where the wrongdoing occurred.
- How the alleged wrong doer committed the alleged wrongdoing (if conversant with the modus operandi)?
- Why the whistleblower believes the activity to be improper?
- Names of the witnesses (if any) to the alleged wrongdoing.
- Documentary evidence, if any, to be attached.

However, the whistle blower should not here mention his name or any other particulars that may disclose his/her identity from the contents of the complaint.**7. b) For Lodging the Complainant on-line on J&K Corporation Intranet/Internet Portals (when available).**

The Corporation will set-**up** "Whistle Blower" module on J&K State Power Development Corporation internet/intranet portals to facilitate lodging of on-line complaints under "Whistle Blower" category to Chairman AC BoD/DVO, as the case may be. The access rights to view the on-line complaints under "Whistle Blower" category will be restricted to the designated authorities' i.e. Departmental Vigilance Officer/Chairman of the Audit Committee of the Board/the authorized official expressly authorized in this regard by Chairman AC BoD/DVO to be called the "Authorised Person". The Authorised Person in this regard shall not be below the rank of General Manager in the Vigilance Department. This will ensure protecting the identity of the complainant as also confidentiality of the contents since there will not be any intervention/ handling by a third person during the transit-phase.

8. Role of the Departmental Vigilance Officer / Chairman of the Audit Committee of the Board.

a. The Departmental Vigilance Officer/ Chairman of the Audit Committee of the Board will be designated authorities to receive complaints made by any officials/ employees / directors / specified third parties of the Corporation including the subsidiaries /affiliates/etc.

b. The Departmental Vigilance Officer/ Chairman of the Audit Committee of the Board, as the designated authorities, will ascertain from the Whistleblower whether he/she/it has made the disclosure/complaint. If the complaint is anonymous / pseudonymous, the authority shall not take any action.

c. The identity of the complaint will not be revealed unless the complainant himself has made either the details of the complaint public or disclosed his identity to any other officer or authority.

d. If the allegations made in the complaint referred to the Chairman of Audit Committee of Board are specific and verifiable then he/she (Chairman of Audit Committee of Board) may refer the same to the DVO for further action. As regards the complaint made to the Departmental Vigilance Officer where the allegations are specific and verifiable, he/she will take further action in the matter. Further action in this context would include ordering an investigation/inquiry into the complaint and obtaining all the relevant papers / documents in respect of the matter raised in the complaint. While calling for preliminary inquiry/ investigation report, the DVO/Chairman AC BoD will not disclose the identity of the complainant. The DVO/Chairman AC BoD will also advise the authority/ies from whom the report is sought to keep the identity of the complainant secret/ confidential, if for any reason, the said authority comes to know about the identity of the complainant. In case the identity of the complainant gets disclosed despite directions of the DVO/Chairman AC BoD, such appropriate action as deemed fit by the DVO/Chairman AC BoD will be taken against the person responsible for that disclosure.

e. If any whistleblower is aggrieved of any action on the ground that he/she/it is being victimized due to the fact that he/she/it had filed the complaint, he/she/it may file an application before the Departmental Vigilance Officer/ Chairman of Audit Committee of the Board seeking redressal in the matter. Departmental Vigilance Officer/Chairman of Audit Committee of the Board will ensure that no punitive action is taken by any concerned authority against that person on perceived reasons of being a "whistle blower."

f. In case the DVO/Chairman AC BoD finds the complaint to be motivated or vexatious, he/she may recommend initiation of action against such complainant as per extant rules.

g. After conducting investigation, if it is revealed that there was misuse of office and/or contents & substance in the allegation/s, the DVO/Chairman AC BoD shall recommend appropriate action which shall inter-alia include:

i. Appropriate proceedings against the concerned staff member/director;

ii. Recommending to appropriate authority for initiation of criminal proceedings in suitable cases, if warranted, by facts & circumstances of the case; and

iii. Recommend corrective measures to prevent recurrence of such events in future.

h. In case a complaint results in detection of unethical practices/ abuse of authority/official position, fraud and other wrong actions and thereby averts or minimizes the financial and/or reputational loss to the Corporation, the moral courage shown by the "Whistle Blower" in staff will be recognized by the Corporation by way of appropriate incentive/ benefit. For this purpose, the DVO/Chairman AC BoD may recommend that such genuine informants are given due weightage in career growth and placements as may be considered fit by the Human Resource Development Department (HRDD) of the Corporation. A confidential dossier will be maintained personally by the DVO/Chairman AC BoD for this purpose. The DVO/Chairman AC BoD will ensure full protection against disclosure of identity of the Whistle Blower.

To take suitable action and to avoid inordinate delay due to limited meetings of the Audit Committee of the Board, the ACB may appoint an "Administrator" to over-see/monitor whistle blowing mechanism and allow/ authorize him for taking necessary action under the covenants of this policy document. Whether a complaint has been raised through on-line/ off-line mode, the "Administrator" if appointed shall get it probed normally within 15 days and submit a compliance report, only in those cases where some mala-fide have been established/ proved, to the Committee in the ensuing meeting.

9. Investigation

9.1. Once a concern has been raised/ reported and ordered to be investigated by the DVO/Chairman AC BoD, the Authorised Person shall take the following steps:-

i. obtain full details & clarifications about the issue/concern;

ii. recommend investigation of the same by the Corporation's internal auditors or any other investigation agency or person, internal or external including the police;

iii. fully investigate into the allegation with the assistance where appropriate of other individuals/bodies;

iv. refer the issue/concern to the Disciplinary Authority for initiation of disciplinary action under rules.

9.2. All the 'protected disclosures' reported under this policy, if warranted, shall be got thoroughly investigated in a manner deemed appropriate by

the Departmental Vigilance Officer / Chairman of the Audit Committee of the Board. They shall oversee the investigation under the supervision of Audit Committee of Board. If any member of the Audit Committee has a conflict of interest in any given case, then he/she should recuse himself/herself and the other members of the Audit Committee should deal with the said matter.

9.3. The decision to conduct an investigation taken by the Departmental Vigilance Officer / Chairman of the Audit Committee would by itself not constitute culpability or guilt of the subject and is to be treated merely as a neutral fact-finding process.

9.4. The investigation will be initiated only if prima-facie it appears that the alleged act reported constitutes an improper or unethical activity or conduct and is supported by required information. However, the investigation itself should not be undertaken with a prejudicial mind that it relates to improper or unethical activity.

9.5. The identity of a 'subject' will be kept confidential to the extent possible subject to legal and investigation constraints.

9.6. The 'subject/s' may be informed about the allegations after a formal investigation for his/ their involvement in the fact finding process. If informed, the 'subject/s' shall have a duty to co-operate with the DVO/Chairman of the Audit Committee or any of the Investigator/s during investigation, so long as such co-operation does not compromise the self-incrimination protections available under the applicable laws.

9.7. The 'subject' shall have a right to counter the allegations during/ after investigation. If the opportunity is provided by the investigator, he/she should not try to deter or unduly influence the investigation process. He/she should neither destroy, tamper or withhold the evidence nor resort to influence, coercion or intimidation.

9.8. The 'subject' will be given the opportunity to respond to material findings of investigation, unless there is no reason therefor. No allegation of wrongdoing against a 'subject' shall be maintainable, unless it is substantiated with evidence during investigation.

9.9. The investigation shall be completed normally within 15 days of the receipt of the 'protected disclosure'.

i) All Concerns/ Issues investigated under this policy and all information obtained during the course of investigation will remain confidential, except as necessary to conduct the investigation and take any remedial action in accordance with applicable laws/ Corporation policies.

ii) While investigating the concern raised by the Whistle Blower, the Corporation may or may not be able to inform such Whistle Blower the precise action/ findings of such investigation. The Corporation, however, will take all steps to remove the difficulty/ anxiety of the Whistle Blower, which he may experience as a result of raising/ reporting such concern. If the whistle blower is required to give evidence in criminal or disciplinary proceedings, the Corporation will arrange for the whistle blower appropriate legal advice about the process and procedure to be followed in this regard. Direct access to the Chairperson of the Audit Committee of the Board will be provided to Whistle Blower should the Whistle Blower so require, in appropriate cases."

10 Disciplinary Action.

Audit Committee shall oversee that appropriate disciplinary actions are taken as per the extant guidelines / policies of the Corporation in an event the complaint is found based on the facts.

11. Untrue Concerns: Mala-fide Versus Bonafide Ones.

If a Whistle Blower reports/raises a concern in good faith, which is not confirmed by subsequent investigation, no action will be taken against him (the Whistle Blower). In making a disclosure, the Whistle Blower shall exercise due care to ensure the accuracy of the information. In case of repeated frivolous complaints being filed by an employee or director (if he/she chooses to disclose his/ her name), the Audit Committee may take suitable action against the employee or director for such mala-fide intentions/disclosures including reprimand and / or other disciplinary action as deemed fit. However, in case of third party mala-fide reporting, criminal action may be taken on case-to-case basis and/ or in exceptional cases and at the sole discretion of the Managing Director/Chairman-cum-Managing Director of the Corporation in case issues like reputational/ business losses of the Corporation or where its staff are involved.

12. Discrimination.

The Corporation strictly prohibits discrimination, retaliation or harassment of any kind against a Whistle Blower who based on his reasonable belief that such conduct or practices have occurred or are occurring, reports that information. If a Whistle Blower believes that he/ she has been subjected to discrimination, retaliation or harassment for having reported Concern under this policy, he/ she must report such fact to any member of the Audit Committee. It is imperative that the Whistle Blowers bring such matters to the attention promptly so that any Concern of discrimination, retaliation, or harassment can

be investigated and addressed promptly & appropriately by Audit Committee of the Board of Directors.

13. Confidentiality.

The Whistle Blower, members of Audit Committee or DVO or the Administrator or investigation person or persons who will be investigating or deciding on the investigation shall not make public the Issue/Concern disclosed. Further, the identity of the whistle blower shall be kept confidential, unless legally required to be disclosed during investigation/s or after investigation/s are carried out.

14. Protection & Redressal in case of Unfair Treatment of Whistle-blower.

14.1. There shall be no unfair treatment against the whistleblower for having reported a 'protected disclosure' in good faith or in overall interests of the Corporation under this policy. The Corporation, as a policy, condemns any discrimination, harassment, victimization or any other unfair employment practice against whistleblowers. Therefore, complete protection shall be given to whistleblowers against any unfair practice like retaliation, threat or intimidation of termination/suspension of service, disciplinary action, transfer, demotion, refusal of promotion, or any direct or indirect use of authority to obstruct their right to continue, to perform their duties/functions including, making further 'protected disclosures'. If the evidence of whistleblower, in criminal or disciplinary proceedings is mandatory, the Corporation will provide the necessary advice to him/her, if any, required. The Corporation shall also reimburse the expenses to the whistleblower, if any, incurred by him during this process.

14.2. Any other employee or director assisting in the said investigation shall also be protected to the same extent as the whistleblower.

15. Investigators to be Impartial.

The investigators should conduct a thorough and impartial investigation in the matter. They may obtain technical or any other support, if required, during investigation.

16.Decision

If an investigation leads the Departmental Vigilance Officer / Chairman of the Audit Committee, to conclude that an improper or unethical act has been committed, they shall recommend appropriate action against the 'subject/s' to the management of the Corporation. However, any disciplinary or corrective action initiated against the 'subject' shall be as per extant service rules, applicable to him/her. In case of the 'subject' being a director, Chairman of

the Audit Committee, after investigation, shall have power to refer the case to the Board of Directors for appropriated action against such 'subject'.

17. Reporting to Audit Committee on Half-yearly Basis

The Departmental Vigilance Officer shall submit a report to the Audit Committee on half yearly basis about all 'protected disclosures' referred to him/her since the last report together with the results of investigation, if any.

18. Retention of Documents

All 'protected disclosures' in writing or documented along with the findings of investigation relating thereto shall be retained by the Corporation for a minimum period of seven years.

19. Amendments

The Corporation reserves its right to amend or modify this Policy in whole or in part, at any time, however no such amendment or modification will be binding on its employees/directors and specified third party stakeholders unless the same is properly notified.